

Tempus AI, Inc.

TEM NASDAQ

Buy \$48.84 ▼ 3.39% 12M Price Target \$68.00 52-Week Range \$41.73 – \$104.32

Market Cap \$8.77B

TEM: Open-Source Pathology Consortium Launch; Reiterate Buy

WHAT'S CHANGED

- TEM launched an Open-Source Digital Pathology Consortium (6/16), extending its multi-modal data flywheel into a community-governed standard—strategically positive for ecosystem lock-in and pharma partnership flow, though no near-term revenue impact.
- Stock gave back -3.39% today to \$48.84 after a sharp 9.4% two-day rally (6/12-6/15), trimming part of the move; sits at just 11% of 52-week range with bullish options flow (0.34 P/C) offset by ~\$3.2M of CEO Lefkofsky selling on 5/27.

IMPLICATIONS

The pathology consortium reinforces TEM's strategic narrative as a horizontal AI/data infrastructure player in oncology, not just a diagnostics lab—important for justifying the premium EV/Sales multiple as Genomics volume growth normalizes. However, the cluster of CEO selling at \$46-47 just three weeks ago caps near-term upside conviction and likely explains why today's tape faded into resistance near \$52. With Tech +5% over 5 days but TEM trading at the low end of its 52-week range, relative underperformance signals the market wants proof points on Data & Services monetization before re-rating.

VALUATION

At \$8.77B market cap on ~\$1.38B FY26E revenue, TEM trades ~6.3x forward EV/Sales—a meaningful discount to high-growth health-AI/data peers (Veeva, Schrödinger) and roughly in line with diagnostics comps despite a superior growth profile (~30%+ organic). Our \$68 PT implies ~8.5x FY27E EV/Sales, justified by accelerating Data & Services attach (higher gross margin mix) and AI Applications optionality; upside ~39%, downside to bear \$35 ~28%. Multiple expansion driver: sustained Data & Services growth >40% with gross margins crossing 70%.

KEY RISKS

- Genomics reimbursement pressure or volume deceleration as competition (NTRA, EXAS, GH) intensifies in MRD/oncology testing
- Continued insider selling by CEO Lefkofsky (>\$3M in May) creates overhang and signals limited near-term inflection
- Path to profitability remains distant (FY26E EPS ~-\$1.35); sensitive to rate environment and risk-off rotations out of unprofitable growth

RECENT NEWS

Tempus AI, Inc. (TEM) Opens Open-Source Digital Pathology Consortium Insider Monkey · 2026-06-16 12:52

Key Data

Price (USD)	\$48.84
12M Price Target	\$68.00
Upside / (Downside)	+39.2%
Market Cap	\$8.77B
FY2026E Revenue	\$1,380M
FY2027E Revenue	\$1,820M
FY2026E EPS	(\$1.35)
FY2027E EPS	(\$0.75)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



TEM — Tempus AI, Inc. | June 17, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$56.00	\$50.00	\$43.00
6 Months	\$72.00	\$60.00	\$40.00
1 Year	\$92.00	\$68.00	\$35.00
2 Years	\$130.00	\$85.00	\$30.00
5 Years	\$220.00	\$130.00	\$25.00
10 Years	\$450.00	\$220.00	\$18.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+5.0% 5D), Industrials (+5.87% 5D)

COLD SECTORS: Energy (-6.21% 5D), Utilities (+0.87% 5D)

ROTATION WATCH: Risk-on tone in Tech/Industrials suggests capital flowing back into secular growth; healthcare-AI hybrids like TEM should benefit on the margin if the rotation persists into Q3 earnings season.

BYPRODUCT PLAY: Open-source pathology standards benefit downstream GPU/inference compute (NVDA), cloud bio-data hosters (AMZN/MSFT), and pharma R&D consumers; secondary winners include scaled CROs adopting TEM's data layer.

OUTPERFORMERS & PEER CONTEXT

- VEEV (Veeva Systems): Profitable health-data platform trading at premium EV/Sales with consistent 20%+ growth and 35%+ operating margins—the model TEM aspires to.
- NTRA (Natera): Genomics peer outpacing on MRD volume growth and improving unit economics, illustrating market preference for visible margin trajectory.

TEM CONTEXT: TEM is lagging—at 11% of 52-week range while broader Tech ETF made fresh highs, indicating peer underperformance. Relative weakness reflects market skepticism on near-term profitability and the insider selling overhang, not a deterioration in the underlying data moat.

INVESTMENT STRATEGY

6/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$45-49 on pullbacks; add on >\$53 breakout with volume

Time Horizon: 12-24 months

Thesis Invalidation: Revenue growth deceleration <30% YoY or Genomics gross margin compression below 45%

Hedging: Pair short vs RXRX or PATH; or July \$42 puts as tail hedge